FRD - Checkout Funnel Optimization

E-commerce Checkout Funnel Optimization

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1. Context

This document defines functional changes based on analysis of user behaviour in the checkout funnel.

Key observations from data:

- Very high drop-off at **Product View → Add to Cart (~87%)**
- **Checkout users (240) > Cart users (219)** → non-linear flow
- Overall conversion rate is **~2.85% (49 / 1719)**

This indicates:

- Weak product engagement
- Multiple entry paths into checkout
- Revenue loss at early funnel stages

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2. Problem Definition

Problem 1: Low Add-to-Cart Conversion

Users view products but do not take action.

➔ Evidence:
1719 views → 219 cart adds (~12.7%)

Problem 2: Non-linear Funnel Behaviour

Users are entering checkout without cart interaction.

➔ Evidence:
Checkout users (240) > Cart users (219)

Problem 3: Revenue Leakage at Top Funnel

Very low overall conversion.

➔ Evidence:
49 purchases from 1719 users (~2.85%)

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3. Root Cause Analysis

- **Low Add-to-Cart Conversion**

- Weak product page design (CTA visibility)
- Lack of trust signals (reviews, ratings)
- Pricing or value perception issues

- **Non-linear Funnel Behaviour**
- Presence of direct checkout options (Buy Now)
- Inconsistent event tracking
- **Revenue Leakage**
- High drop-off at early stage
- Low user engagement before cart stage

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4. Objectives

- Increase Add-to-Cart rate
- Reduce friction before checkout
- Improve overall conversion rate
- Capture more high-intent users

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5. Functional Requirements

FR-1: Improve Add-to-Cart Visibility

Priority: High

Problem: Users are not interacting with product page CTAs

Requirement:

- Add-to-Cart button must be:
- ➔ Visible without scrolling (above the fold)
- ➔ High contrast vs background
- ➔ Sticky on scroll (mobile + desktop)

Acceptance Criteria:

- ➔ Button visible on initial load
- ➔ Clickable across devices
- ➔ No overlap with other UI elements

FR-2: Add Product Trust Signals

Priority: High

Problem: Users hesitate before committing

Requirement:

- Show:
- ➔ Ratings (stars + count)
- ➔ Review snippets
- ➔ Return policy summary

➔ Delivery estimate

Acceptance Criteria:

- Ratings displayed near product title
- At least 1 review visible without scrolling

FR-3: Support Direct Checkout Entry (Buy Now)

Priority: High

Problem: Users bypass cart (already observed in data)

Requirement:

- Introduce / optimize "Buy Now" flow:
➔ Single-click navigation to checkout
➔ Skip cart stage

Acceptance Criteria:

- Clicking "Buy Now" opens checkout page
- Product is pre-added to order summary

FR-4: Standardize Checkout Entry Tracking

Priority: Medium

Problem: Funnel inconsistency → unclear user paths

Requirement:

- Track checkout entry source:
➔ From cart
➔ From buy now
➔ From other flows

Acceptance Criteria:

- Each checkout event must include entry source
- Data available for reporting

FR-5: Simplify Checkout Steps

Priority: High

Problem: Potential friction before purchase

Requirement:

- Reduce steps to:
- ➔ Address
- ➔ Payment
- ➔ Review
- Enable:
- ➔ Guest checkout
- ➔ Auto-fill for returning users

Acceptance Criteria:

- Max 3 steps
- Form fields minimized
- No forced login

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6. Non-Functional Requirements

NFR-1: Performance

- Page load time < 3 seconds

NFR-2: Usability

- UI should be mobile-friendly and responsive

NFR-3: Reliability

- Checkout flow should not fail during payment

NFR-4: Security

- Secure payment processing (SSL encryption)

NFR-5: Tracking Accuracy

- All events must be logged correctly (cart, checkout, purchase)

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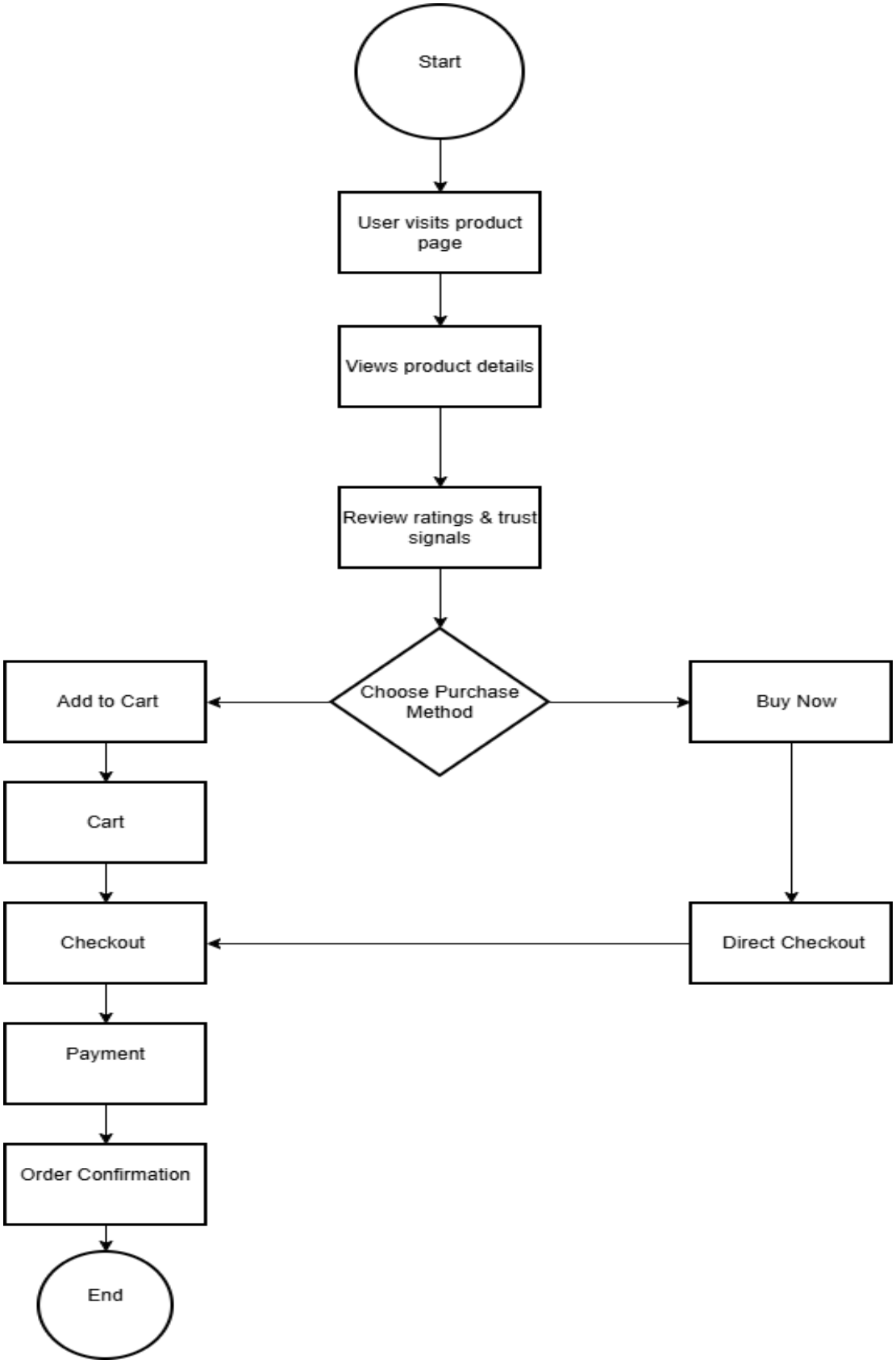
7. TO-BE Process Flow

The diagram below represents the optimized checkout flow with both cart-based and direct checkout paths.



8. Assumptions

- Users dropping early are influenced by product page experience
- Checkout completion is relatively stable (based on 22% conversion from cart)
- Non-linear flow is intentional (not purely data error)

9. Constraints

- No redesign of entire platform
- Changes limited to:

➔ UI improvements
➔ Flow optimization
➔ Tracking enhancement

10. Success Metrics

- Add-to-Cart rate → increase from ~12.7%
- Overall conversion → increase from ~2.85%
- Drop-off at product stage → reduce
- Checkout entry clarity → measurable via source tracking